Ivy Peak Co-Invest Re II Limited

Consolidated financial statements

As of December 31, 2025, and 2024

INDEX TO CONSOLIDATED FINANCIAL STATEMENTS

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Ivy Peak Co-Invest Re II Limited

Opinion

We have audited the consolidated financial statements of Ivy Peak Co-Invest Re II Limited and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor’s Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company’s internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company’s ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Deloitte & Touche LLP

April 23, 2026

IVY PEAK CO-INVEST RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS

	As of December 31,	
	2025	2024
($ in thousands)		
Assets		
Investments:		
Funds withheld receivable at interest (portion at fair value: $16,710 and $(46,832), respectively.)	$ 3,546,927	$ 3,638,650
Other investments at fair value	28,835	25,038
Total investments	**3,575,762**	**3,663,688**
Cash and cash equivalents	33,849	28,677
Accrued investment income	52	—
Reinsurance receivable	56,297	23,070
Other assets	368	1,859
Total assets	**3,666,328**	**3,717,294**
Liabilities		
Policy liabilities	3,316,903	3,404,953
Other liabilities	3,028	2,819
Reinsurance liabilities	14,007	23,861
Total liabilities	**3,333,938**	**3,431,633**
Commitment and contingencies (Note 12)		
Shareholder's equity		
Common stock	250	250
Additional paid-in capital	280,391	280,391
Retained earnings (deficit)	47,026	(18,693)
Accumulated other comprehensive income (loss)	4,723	23,713
Total shareholder's equity	**332,390**	**285,661**
Total liabilities and shareholder's equity	**$ 3,666,328**	**$ 3,717,294**

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF INCOME (LOSS)

	Years ended December 31,	
	2025	2024
($ in thousands)		
Revenues		
Premiums	$ 7,659	$ 1,309,454
Net investment income (loss)	229,785	174,062
Net investment-related gains (losses)	60,984	(37,461)
Total revenues	**298,428**	**1,446,055**
Benefits and expenses		
Policy benefits and claims (remeasurement (gain) loss on policy liabilities ($— and $—, respectively.)	180,012	1,456,656
Insurance expenses	3,996	3,223
General and administrative expenses	2,865	3,488
Total benefits and expenses	**186,873**	**1,463,367**
Income (loss) before income taxes	**111,555**	**(17,312)**
Income tax expense (benefit)	636	1,381
Net income (loss)	**$ 110,919**	**$ (18,693)**

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

	Years ended December 31,	
	2025	2024
($ in thousands)		
Net income (loss)	**$ 110,919**	**$ (18,693)**
Other comprehensive income (loss):		
Effect of changes in the discount rates used to measure limited-payment long duration insurance contracts	(18,990)	23,713
Other comprehensive income (loss)	**(18,990)**	**23,713**
Comprehensive income (loss)	**$ 91,929**	**$ 5,020**

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF SHAREHOLDER'S EQUITY

	Common stock	Additional paid-in capital	Retained earnings (deficit)	Accumulated other comprehensive income (loss)	Total shareholder's equity
($ in thousands)					
Balance as of inception	**$ —**	**$ —**	**$ —**	**$ —**	**$ —**
Net income (loss)	—	—	(18,693)	—	(18,693)
Other comprehensive income (loss)	—	—	—	23,713	23,713
Capital contributions	250	280,391	—	—	280,641
Balance as of December 31, 2024	**$ 250**	**$ 280,391**	**$ (18,693)**	**$ 23,713**	**$ 285,661**
Net income (loss)	—	—	110,919	—	110,919
Other comprehensive income (loss)	—	—	—	(18,990)	(18,990)
Dividends	—	—	(45,200)	—	(45,200)
Balance as of December 31, 2025	**$ 250**	**$ 280,391**	**$ 47,026**	**$ 4,723**	**$ 332,390**

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years ended December 31,	
	2025	2024
($ in thousands)		
Cash flows from operating activities		
Net income (loss)	$ 110,919	$ (18,693)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	(60,987)	37,358
Net accretion and amortization	(6,257)	(8,460)
Interest credited to policy account balances less policy fees	112,170	86,708
Deferred income tax expense (benefit)	636	1,381
Changes in operating assets and liabilities:		
Reinsurance transactions and acquisitions, net of cash provided (used)	—	(433)
Change in premiums, funds withheld, and reinsurance receivable, net of reinsurance premiums payable	106,662	(180,764)
Change in accrued investment income	(51)	—
Change in policy liabilities and accruals, net	(24,788)	(10,926)
Other operating activities, net	922	(576)
Net cash provided by (used in) operating activities	**239,226**	**(94,405)**
Cash flows from investing activities		
Proceeds from disposals of other investments	83	—
Purchase of other investments	(912)	(18,444)
Net cash provided by (used in) investing activities	**(829)**	**(18,444)**
Cash flows from financing activities		
Reinsurance transactions, net of cash provided (used)	—	(652)
Withdrawals from contractholder deposit funds	(188,025)	(138,463)
Capital contributions	—	280,391
Issuance of common stock	—	250
Dividends paid	(45,200)	—
Net cash provided by (used in) financing activities	**(233,225)**	**141,526**
Net change in cash and cash equivalents	**5,172**	**28,677**
Cash and cash equivalents, beginning of period	28,677	—
Cash and cash equivalents, end of period	**$ 33,849**	**$ 28,677**
Non-cash transactions		
Contractholder deposit funds acquired through reinsurance agreements	$ —	$ 2,094,058

See accompanying notes to consolidated financial statements.

(1) Nature of business and basis of presentation

Ivy Peak Co-Invest Re II Limited (together with its subsidiaries, “Peak Re II,” the “Company,” we, our, or us) was incorporated on December 1, 2023, and is a Bermuda exempted limited liability company. The Company served the reinsurance marketplace as a reinsurer primarily for transactions sourced, negotiated, and underwritten by subsidiaries of Global Atlantic Limited (Delaware) (“the Sponsor,” “Global Atlantic,” or “GALD”). The reinsurance solutions include primarily reinsurance of life and retirement blocks. The Company operates independently, leveraging Global Atlantic’s proven reinsurance expertise. Through the co-investment framework, the Company accessed an attractive opportunity to deploy the Company’s ultimate parent investor capital while assisting life and annuity companies in addressing capital, risk management, and strategic objectives. The Company’s ultimate parent has fully drawn on its capital commitments and originated reinsurance transactions taking advantage of the full capital commitment provided. As of December 31, 2025, the Company is running off the books of business originated and is not originating any new business.

The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the “BMA”), the insurance regulatory authority of Peak Re II.

The consolidated financial statements reflect the reinsurance transaction entered into between Peak Re II and the ceding insurance company, Global Atlantic Re Limited ("GA Re") (“Sponsor Insurance Subsidiary”). The reinsurance transaction comprises of block reinsurance, as described in Note 11 — “Reinsurance.”

The preparation of consolidated financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the consolidated financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

The consolidated financial statements include the results of operations and financial position of the Company and all other entities in which the Company has a controlling financial interest. All intercompany accounts and transactions have been eliminated in consolidation.

(2) Significant accounting policies

The following are the Company’s significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	6
Policy liabilities	7
Income taxes	9
Reinsurance	10

Investments

In the normal course of business, the Company enters into reinsurance transactions with the Sponsor Insurance Subsidiary and invests surplus assets in various types of investments.

Investments include funds withheld receivable at interest ceded by the Sponsor Insurance Subsidiary and other investments.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the Sponsor Insurance Subsidiary, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from Sponsor Insurance Subsidiary under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the consolidated balance sheets.

Other investments

Other investments in the consolidated balance sheets include the Company’s investments in investment partnerships or limited liability companies, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting, unless the Company’s interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost, and the carrying amount of the investment subsequently be adjusted to recognize the Company’s share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company’s proportionate share of the equity method investee’s net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements. For those investments in which we are determined to have virtually no influence, the Company accounts for its investment as an equity security.

The income from the Company's equity method investments is included in net investment income (loss) in the consolidated statements of income (loss). The Company generally elects to apply the fair value option to its interests in investment partnerships or limited liability companies that would otherwise require equity method accounting. The investments that apply the fair value option, as well as those investments in which the Company is determined to have virtually no influence, are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

Investment credit losses and impairment

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Other investments

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the consolidated balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Policy liabilities

Policy liabilities (or collectively, "reserves") are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, discount rates, mortality, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company's net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

Traditional life and limited-payment contracts

Whole life

The Company reinsures whole life and single-premium whole life for which the Company records a liability for future policy benefits. A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses, less the present value of estimated future net premiums to be collected from policyholders, is accrued as premium revenue is recognized. The liability is estimated using best estimate assumptions that include mortality and lapse. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually, and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception, and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level.

Long-term care

Long-term care business is assumed net of inuring reinsurance contract, which cedes all mortality and morbidity risk to a third-party reinsurer, which results in an economic profile of a period certain annuity with cash flows predetermined under the reinsurance contract. Assumed long-term care business is accounted for as an investment-type product, with a contractholder deposit reserve established at inception, and amortized under the effective yield method.

Period Certain Annuities

Contractholder deposit reserves for certain assumed blocks of non-life contingent period certain annuity policies which lack significant insurance risk are accounted for as investment-type contracts. A net liability is established at inception, and amortized under the effective yield method.

Reinsurance

The Company co-invests in life and retirement block reinsurance transactions with its Sponsor Insurance Subsidiary. In particular, consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the consolidated statements of income (loss). The Company’s funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld agreements, the Company has the right to receive the total return on assets supporting the funds withheld receivable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Organization expenses

Organization expenses are for startup costs required to launch the Company. These costs are expensed as incurred. Organization expenses are reported as an operating activity in the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to whole life and long-term care are recognized in premiums in the consolidated statements of income (loss) when due from the contractholders.

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the consolidated balance sheets . Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the consolidated statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the consolidated statements of income (loss).

Income taxes

The Company operates certain subsidiaries in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method, under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities.

The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Future application of accounting standards

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's consolidated financial statements.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025–05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025–05"). ASU 2025–05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements.

(3) Investments

Funds withheld receivable at interest

As a reinsurance business, the Company is subject to the investment performance of the assets in the funds withheld receivable at interest. In the event of a ceding company's insolvency, the Company would need to assert a claim on the assets supporting its reserve liabilities. However, the risk of loss to the Company is mitigated by its ability to offset amounts it owes the ceding company for claims or allowances against amounts owed to it from the ceding company. As of December 31, 2025, and 2024, the assets held supporting the reinsurance agreement were held by a Sponsor Insurance Subsidiary. The cedant, GA Re, has a financial strength rating of "A" from S&P.

Other investments

As of December 31, 2025, and 2024, the Company had $28.8 million and $25.0 million of investments in entities that own real estate, respectively. These investments qualify as equity method investments; however, the Company has elected to apply the fair value option. The Company's maximum exposure to loss related to these investments is limited to the carrying value of these investments.

Net investment income (loss)

Net investment income (loss) is comprised primarily of interest income and income from funds withheld receivable at interest

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
($ in thousands)		
Income assumed from funds withheld receivable at interest	$ 234,007	$ 179,220
Short-term and other investment income	1,399	576
Gross investment income	**235,406**	**179,796**
Less investment expenses:		
Investment management fees	5,621	5,734
Net investment income (loss)	**$ 229,785**	**$ 174,062**

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
($ in thousands)		
Unrealized gains (losses) on embedded derivative included in funds withheld receivable at interest	$ 63,542	$ (46,832)
Unrealized gains (losses) on other investments	2,967	6,594
Realized gains (losses) on funds withheld receivable at interest	(5,525)	2,777
Net investment-related gains (losses)	**$ 60,984**	**$ (37,461)**

(4) Derivatives

The Company has an embedded derivative related to reinsurance contracts that is accounted for on a funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. This embedded derivative is included in funds withheld receivable at interest in the consolidated balance sheets.

The fair value of the derivative was as follows:

	As of December 31,	
	2025	2024
($ in thousands)		
Embedded derivative – funds withheld receivable at interest	$ 16,710	$ (46,832)

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company’s market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument’s level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the hierarchy for the Company's assets measured at fair value on a recurring basis:

As of December 31, 2025	Level 1	Level 2	Level 3	Total
($ in thousands)				
Assets:				
Embedded derivative - funds withheld receivable at interest	$ —	$ —	$ 16,710	$ 16,710
Other investments	—	—	28,835	28,835
Total assets at fair value	**$ —**	**$ —**	**$ 45,545**	**$ 45,545**

As of December 31, 2024	Level 1	Level 2	Level 3	Total
($ in thousands)				
Assets:				
Embedded derivative - funds withheld receivable at interest	$ —	$ —	$ (46,832)	$ (46,832)
Other investments	—	—	25,038	25,038
Total assets at fair value	**$ —**	**$ —**	**$ (21,794)**	**$ (21,794)**

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Other investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Funds withheld receivable at interest

A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs.

Fair value of assets

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

As of December 31, 2025				
Level 3 assets(1)			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
($ in thousands)				
Other investments	$	28,835	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

(1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 11 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

As of December 31, 2024				
Level 3 assets(1)			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
($ in thousands)				
Other investments	$	25,038	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

(1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 11 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets during the dates indicated:

	Year ended December 31, 2025				
		Net realized and unrealized gains (losses) included in			
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases	Balance, end of period
($ in thousands)					
Assets:					
Embedded derivative - funds withheld receivable at interest	$ (46,832)	$ 63,542	$ —	$ —	$ 16,710
Other investments	25,038	2,967	—	830	28,835
Total assets	**$ (21,794)**	**$ 66,509**	**$ —**	**$ 830**	**$ 45,545**

	Year ended December 31, 2024				
		Net realized and unrealized gains (losses) included in			
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases	Balance, end of period
($ in thousands)					
Assets:					
Embedded derivative - funds withheld receivable at interest	$ —	$ (46,832)	$ —	$ —	$ (46,832)
Other investments	—	6,594	—	18,444	25,038
Total assets	**$ —**	**$ (40,238)**	**$ —**	**$ 18,444**	**$ (21,794)**

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
($ in thousands)					
Assets:					
Other investments	$ 830	$ —	$ —	$ —	$ 830
Total assets	**$ 830**	**$ —**	**$ —**	**$ —**	**$ 830**

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
($ in thousands)					
Assets:					
Other investments	$ 18,444	$ —	$ —	$ —	$ 18,444
Total assets	**$ 18,444**	**$ —**	**$ —**	**$ —**	**$ 18,444**

(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
($ in thousands)		
Miscellaneous assets[1]	$ 368	$ 1,859
Total other assets	**$ 368**	**$ 1,859**

(1) Includes net affiliate receivable amount of $363 thousand and $1.7 million as of December 31, 2025, and 2024, respectively.

Other liabilities consist of the following:

	As of December 31,	
	2025	2024
($ in thousands)		
Deferred income tax liability	$ 2,017	$ 1,381
Accrued expenses and other payables	1,011	1,438
Total other liabilities	**$ 3,028**	**$ 2,819**

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
($ in thousands)		
Commission expense	$ 368	$ 473
Reinsurance expense allowance	2,844	2,207
Premium taxes	25	20
Excise tax and other insurance expenses	759	523
Total insurance expenses	**$ 3,996**	**$ 3,223**

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
($ in thousands)		
Professional services	$ 1,845	$ 2,551
Other miscellaneous general and administrative expenses	1,020	937
Total general and administrative expenses	**$ 2,865**	**$ 3,488**

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the consolidated balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
($ in thousands)		
Policyholders' account balances	$ 1,965,933	$ 2,042,059
Liability for future policy benefits	1,232,531	1,236,461
Other policy-related liabilities[1]	118,439	126,433
Total policy liabilities	**$ 3,316,903**	**$ 3,404,953**

(1) Other policy-related liabilities consist of cost of reinsurance liabilities $113.6 million and $120.0 million, and outstanding claims $4.8 million and $6.4 million as of December 31, 2025, and 2024, respectively.

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates as of and for the dates indicated:

	Years ended December 31,	
	2025	2024
	Investment-type contracts[1]	
($ in thousands, except percentages)		
Balance as of the beginning of the period	$ 2,042,059	$ —
Issuances and premiums received	—	2,094,058
Benefit payments, surrenders, and withdrawals	(188,025)	(138,463)
Interest[2]	112,170	86,708
Other activity[3]	(271)	(244)
Balance as of the end of the period	**$ 1,965,933**	**$ 2,042,059**
Average interest rate	5.74 %	5.73 %

(1) Includes payout annuities without life contingencies and long-term care policies. Long-term care is net of inuring reinsurance which cedes all mortality and morbidity risk to a third party reinsurer, resulting in fixed cash flows. These obligations have no net amount at risk (the difference between the face value of the insurance policy and the reserve accumulated under that same policy) nor a cash surrender value.

(2) Interest includes interest credited to policyholders' account values, and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

Liability for future policy benefits

The following table summarizes the balances of, and changes in, the liability for future policy benefits for limited-payment contracts for the dates indicated:

	Years ended December 31,	
	2025	2024
	Whole life	
($ in thousands)		
Present value of expected net premiums		
Balance as of the beginning of the period	**$ (43,628)**	**$ —**
Balance at the original discount rate	**(43,588)**	**—**
Effect of actual variances from expected experience	428	159
Adjusted beginning of period balance	**(43,160)**	**159**
Issuances	—	(48,085)
Interest	(2,054)	(1,783)
Net premiums collected	7,659	6,121
Ending balance at the original discount rate	**(37,555)**	**(43,588)**
Effect of changes in discount rate assumptions	(962)	(40)
Balance as of the end of the period	**(38,517)**	**(43,628)**
Present value of expected future policy benefits		
Balance as of the beginning of the period	**1,280,089**	**—**
Balance at the original discount rate	**1,303,762**	**—**
Effect of actual variances from expected experience	2,760	(20,989)
Adjusted beginning of the period balance	**1,306,522**	**(20,989)**
Issuances	—	1,351,418
Interest	66,403	51,368
Benefit payments	(98,116)	(78,035)
Ending balance at the original discount rate	**1,274,809**	**1,303,762**
Effect of changes in discount rate assumptions	(3,761)	(23,673)
Balance as of the end of the period	**1,271,048**	**1,280,089**
Net liability for future policy benefits	**$ 1,232,531**	**$ 1,236,461**

The following table summarizes the amount of gross premiums and assessments related to limited-payment contracts recognized in the consolidated statements of income (loss)during the dates indicated:

	Gross premiums and assessments	
	Years ended December 31,	
	2025	2024
($ in thousands)		
Whole life	$ 7,659	$ 1,309,454
Total products	**$ 7,659**	**$ 1,309,454**

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Whole life	
Weighted-average interest rates, original discount rate	5.38 %	5.37 %
Weighted-average interest rates, current discount rate	5.32 %	5.52 %
Weighted-average liability duration (years)	10.68	11.75

The following reflects the undiscounted ending balance of expected future benefit payments and expected future gross premiums for limited-payment contracts as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Whole life	
($ in thousands)		
Expected future benefit payments, undiscounted	$ 2,709,103	$ 2,851,612
Expected future benefit payments, discounted (original discount rate)	1,274,809	1,303,762
Expected future benefit payments, discounted (current discount rate)	1,271,048	1,280,089
Expected future gross premiums, undiscounted	49,592	57,837
Expected future gross premiums, discounted (original discount rate)	37,555	43,588
Expected future gross premiums, discounted (current discount rate)	38,517	43,628

Significant inputs, judgments, and assumptions used in measuring future policy benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates and mortality. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the year ended December 31, 2025, and 2024, the Company concluded that no changes in assumptions were needed.

For the years ended December 31, 2025, and 2024, the Company recognized $(19.0) million and $23.7 million in other comprehensive income (loss), respectively, due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025, and 2024, there were no changes to the methods used to determine the discount rates.

(8) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 250,000 common shares, at par value of $1 per share.

Capital contributions

As of the year ended December 31, 2024, the Company has received $280.4 million, respectively, in capital contributions from its parent.

Dividends

For the year ended December 31, 2025, the Company declared and paid dividends of $45.2 million.

Transfers of a member's interest to another party are restricted in most cases, and subject to the approval of a transfer committee. For information on dividend restrictions on Peak Re II, please see Note 11—"Dividend restrictions and statutory information."

(9) Income taxes

Ivy Peak Co-Invest Re II Limited and its respective subsidiaries are based in Bermuda and the United States.

Peak Re II is not subject to Bermuda income or capital gains tax under current Bermuda law. Bermuda enacted the Corporate Income Tax Act 2023 ("CITA") on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. There is a five-year deferred effective date for certain groups with a limited international footprint, defined as being in six or fewer jurisdictions and having tangible assets less than €50.0 million outside of the jurisdiction where the multinational enterprise group has the highest total value of tangible assets. Peak Re II is part of a multinational enterprise group and is expected to qualify for the limited international footprint exemption to defer application of the CITA until 2030. As of 2030, Peak Re II is expected to have less than €750.0 million in revenue for the three years prior, and thus, it is not expected to be in scope for the corporate income tax.

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company's consolidated financial statements.

The Company holds interests in certain U.S. entities that invest in real estate, the income of which is subject to U.S. income tax. Income tax expense (benefit) of $636 thousand and $1.4 million has been recorded for the years ended December 31, 2025, and 2024, respectively. As of December 31, 2025, the consolidated ending net deferred tax liability was $2.0 million.

(10) Reinsurance

Effective January 1, 2024, the Company entered into a funds withheld coinsurance agreement with a Sponsor Insurance Subsidiary whereby it assumed payout annuities, whole life business and long-term care policies on a funds withheld basis. As of December 31, 2025, assumed annuity reserves are $3.3 billion.

The effects of all reinsurance agreements on the consolidated balance sheets were as follows:

	As of December 31,	
	2025	2024
($ in thousands)		
Policy liabilities:		
Assumed	$ 3,316,903	$ 3,404,953
Total policy liabilities	**$ 3,316,903**	**$ 3,404,953**

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its Sponsor Insurance Subsidiary. Based on its review of the Sponsor Insurance Subsidiary's consolidated financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of both December 31, 2025, and 2024.

As of December 31, 2025, and 2024, respectively, the Company had $3.5 billion and $3.6 billion of funds withheld receivable at interest related to the coinsurance agreement. The assets supporting these receivables were held in trusts by the Sponsor Insurance company.

The effects of reinsurance on the consolidated statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
($ in thousands)		
Assumed:		
Premiums	$ 7,659	$ 1,309,454
Policy benefits and claims	180,012	1,456,656

The Company is contractually liable for U.S. federal excise taxes under the terms of the reinsurance treaties it has entered with the Sponsor Insurance Subsidiary. The obligation is calculated as 1% of premiums paid to the Company on a cash basis. The Company incurred $760 thousand and $523 thousand of excise tax expense for the years ended December 31, 2025, and 2024, respectively. The excise tax expense is included in insurance expenses in the consolidated statements of income (loss).

(11) Dividend restrictions and statutory information

Peak Re II

Peak Re II is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the “Bermuda Insurance Act”).

The Bermuda Insurance Act limits the ability of Peak Re II to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer’s total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer’s total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins (“Bermuda Dividend Affidavit”). Accordingly, Peak Re II may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits Peak Re II from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Peak Re II is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified.

As of December 31, 2025, Peak Re II exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from Peak Re II, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is $120.0 million. Dividends and capital distributions made by Peak Re II during the year ended December 31, 2025 did not exceed the foregoing thresholds.

Statutory financial information

The Bermuda Insurance Act requires Peak Re II to prepare and file statutory consolidated financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits Peak Re II not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires Peak Re II to maintain certain measures of solvency and liquidity. Peak Re II's Bermuda statutory consolidated financial statements form the basis for assessing Peak Re II's liquidity, minimum solvency margin, and class of registration. These consolidated financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of Peak Re II's enhanced capital requirement.

(12) Commitments and contingencies

Contingencies

Legal matters

As of the date of these consolidated financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its consolidated financial statements.

(13) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying consolidated financial statements were available to be issued, that would merit recognition or disclosures in the consolidated financial statements, and determined that nothing arose that merits recognition or disclosure.